

Global Strategy: Class #4

International Strategies and Governance Structures

Apple and Zara

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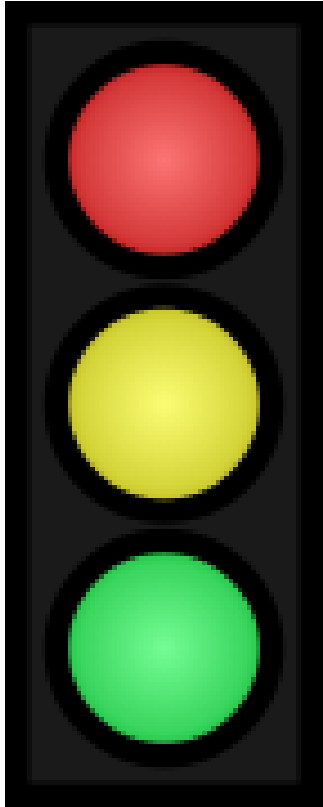
Last Class

- Where should we go? **CAGE (Cultural, Administrative, Geographic, and Economic) Framework.**
 - In international business it is fundamental to understand the “native point of view” (Malinowski)
 - Focusing only on the economic aspects (e.g., CPA) of the hosting country is a flawed approach
 - Hofstede’s Cultural Dimension Comparison brings an interesting toolkit to analyzing cross-country cultural differences, it should be complemented with industry specific measures
 - Liability of Foreignness (LoF) affects negotiation terms in international business

TODAY

- Where should we go? **AAA Framework.**
 - Leveraging the benefits of international operations
 - Governance structures for international expansion
- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Minimizing opportunistic risks of *hold up*
 - Choosing the correct governance structure

What We Are Trying to Solve in the Global Module

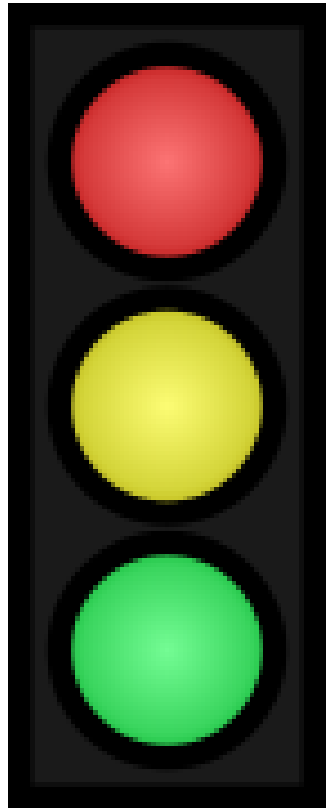


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Ferrero Group
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

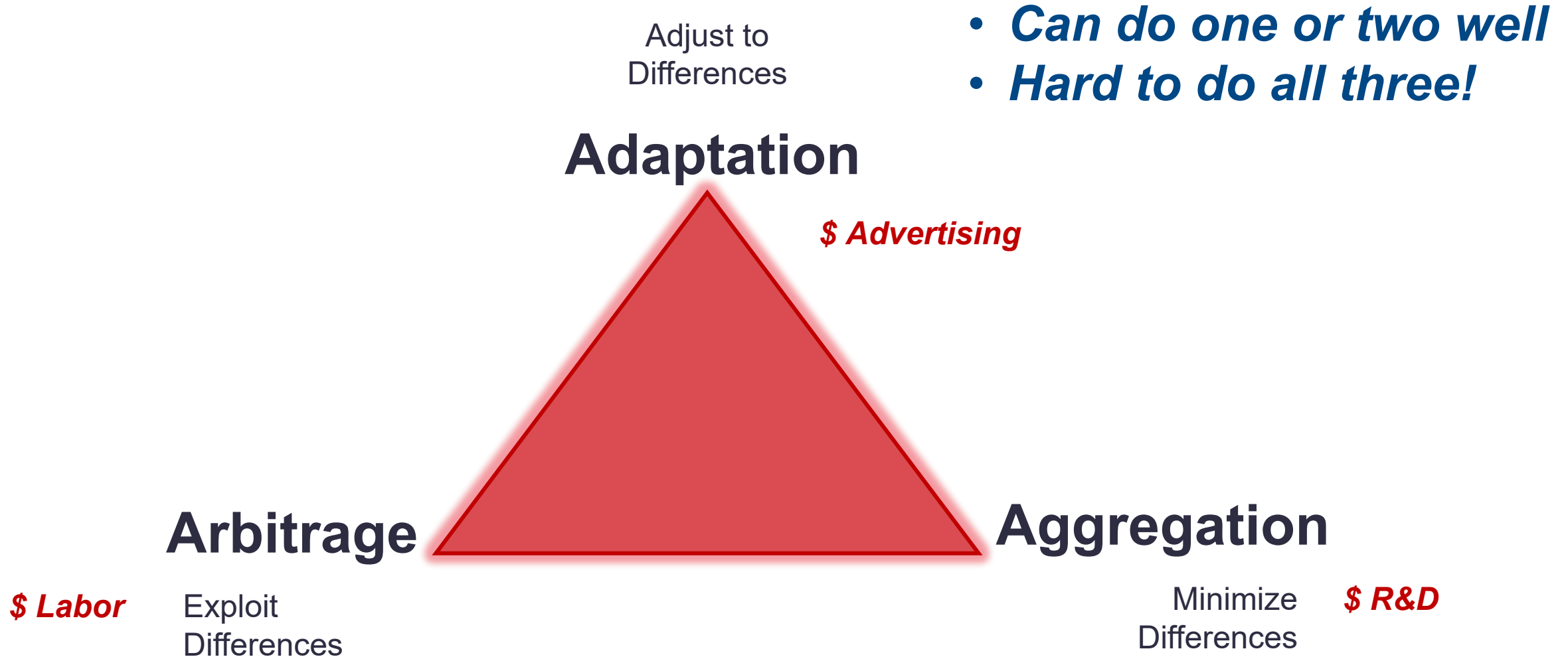
- Walmart
- McDonald's
- Tata Group
- Natura

Managing Differences: The Central Challenge of Global Strategy

Ghemawat (2007). *Harvard Business Review*
85(3): 58-68



Choosing your global strategy: AAA Triangle

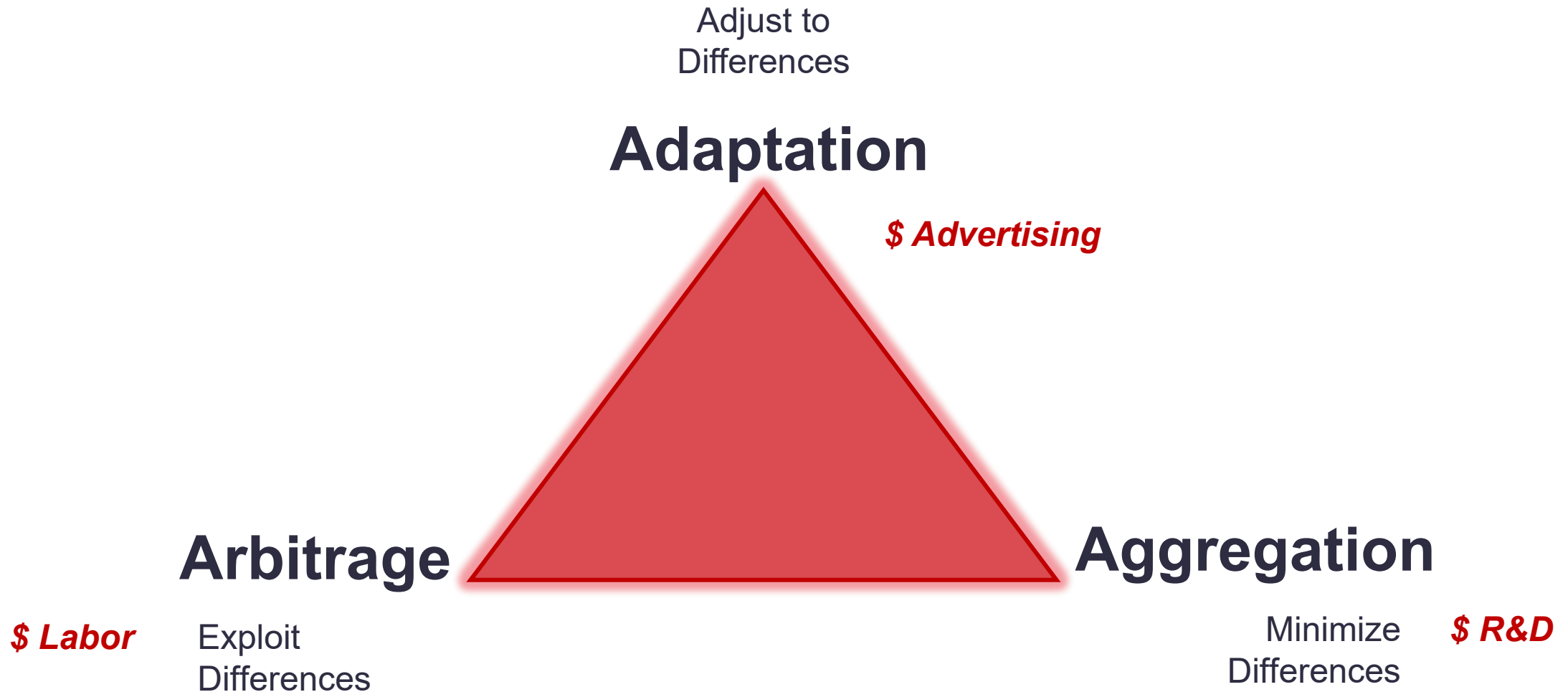


**What is the key “A” feature
that Apple is operating in
Southeast Asia?
And, was it a good idea?**

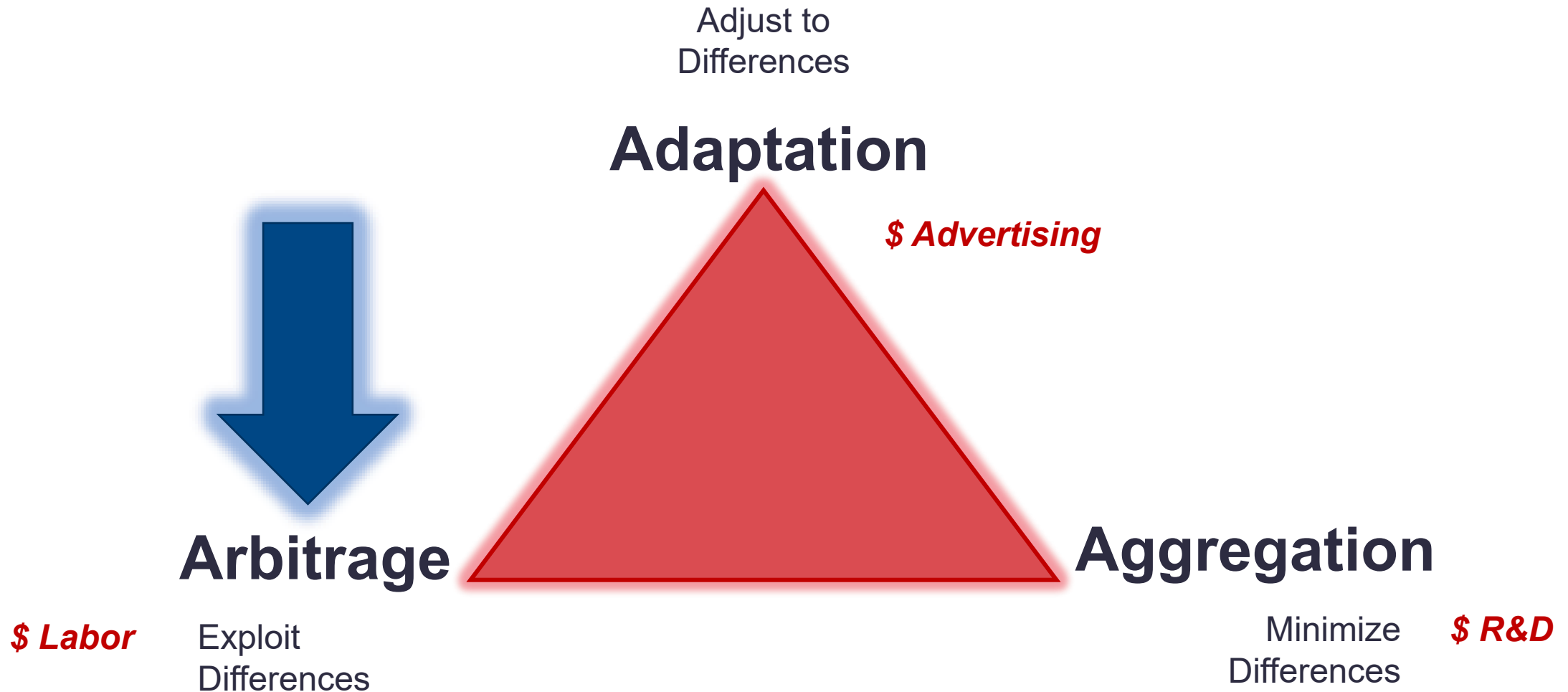
Simpson. “An iPhone Tester Caught in
Apple’s Supply Chain” *Bloomberg
Businessweek*. November 7th, 2013.



Choosing your global strategy: AAA Triangle



Choosing your global strategy: AAA Triangle



Apple's iPhone 5 production arbitrage

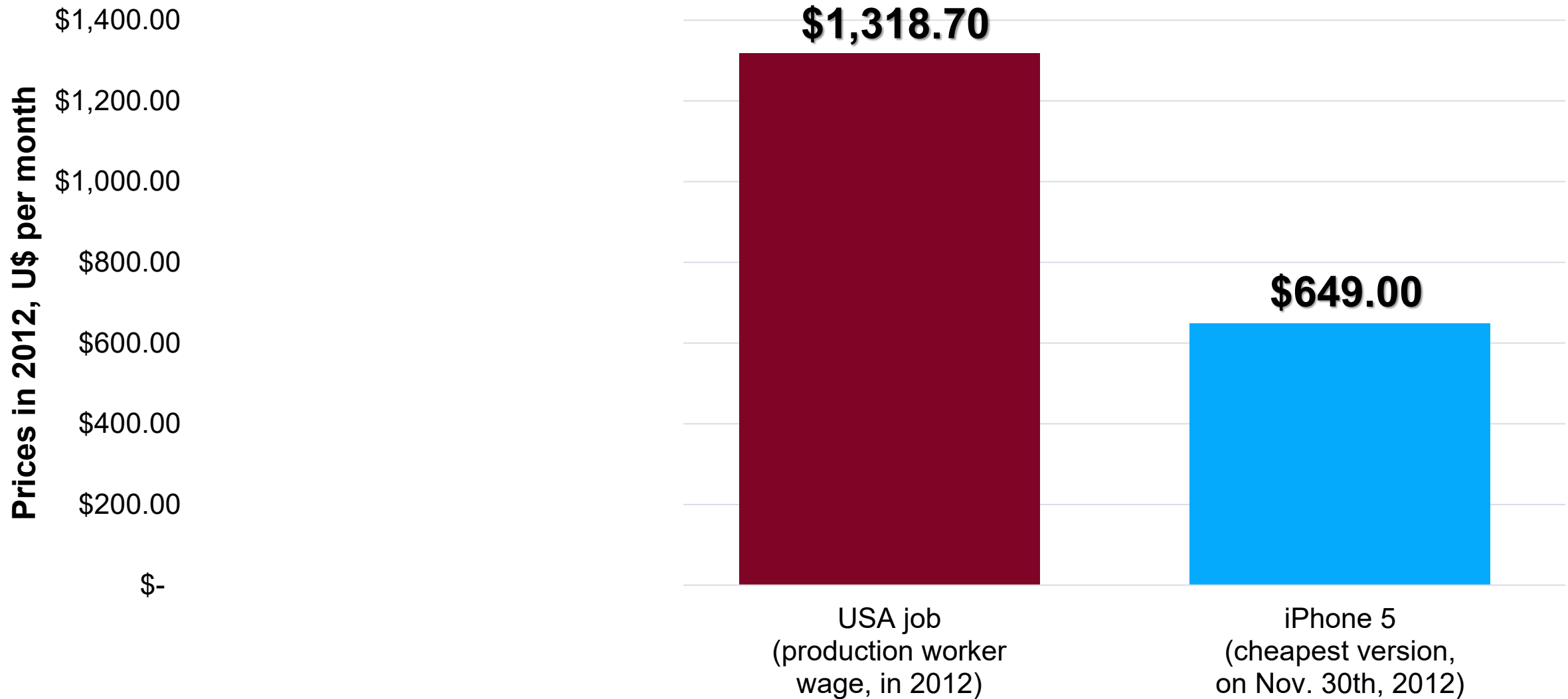
Prices in 2012, US\$ per month

\$1,400.00
\$1,200.00
\$1,000.00
\$800.00
\$600.00
\$400.00
\$200.00
\$-



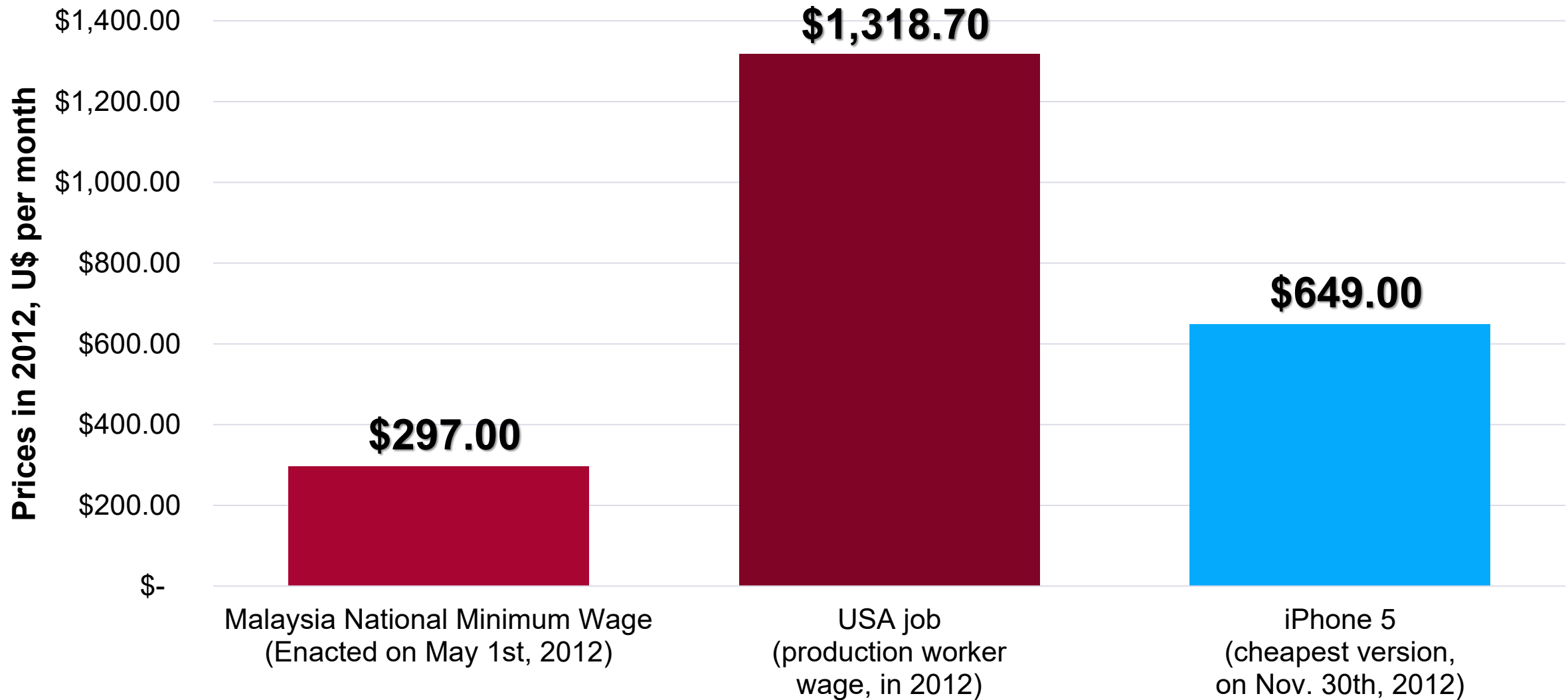
Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#) and Simpson (2013).

Apple's iPhone 5 production arbitrage



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Not only Apple does that...

Not only Apple does that...

...Flextronics wage arbitrage

Prices in 2012, US\$ per month

Category	Price (US\$ per month)
Malaysia National Minimum Wage (Enacted on May 1st, 2012)	\$297.00

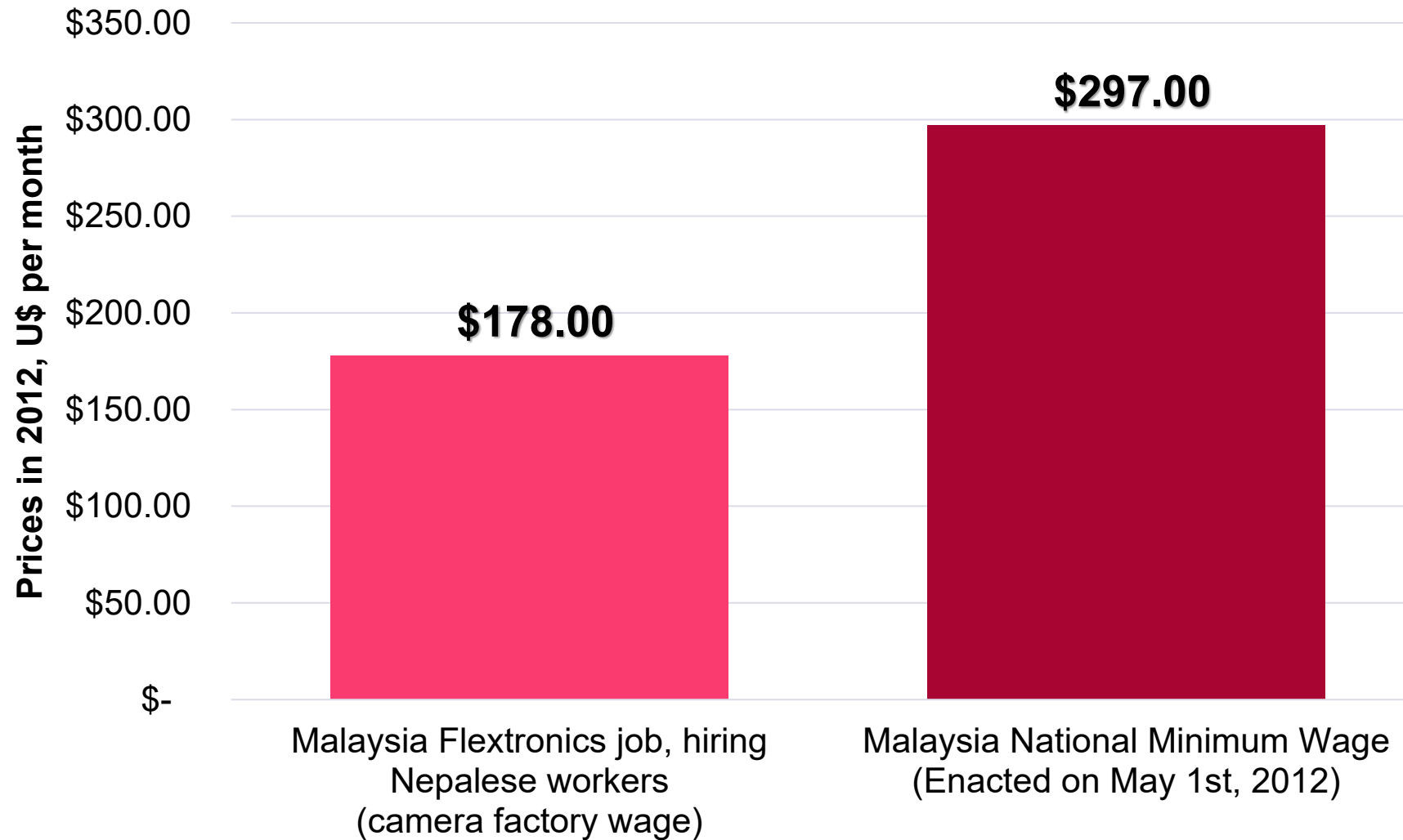
\$297.00

Malaysia National Minimum Wage
(Enacted on May 1st, 2012)

Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

Not only Apple does that...

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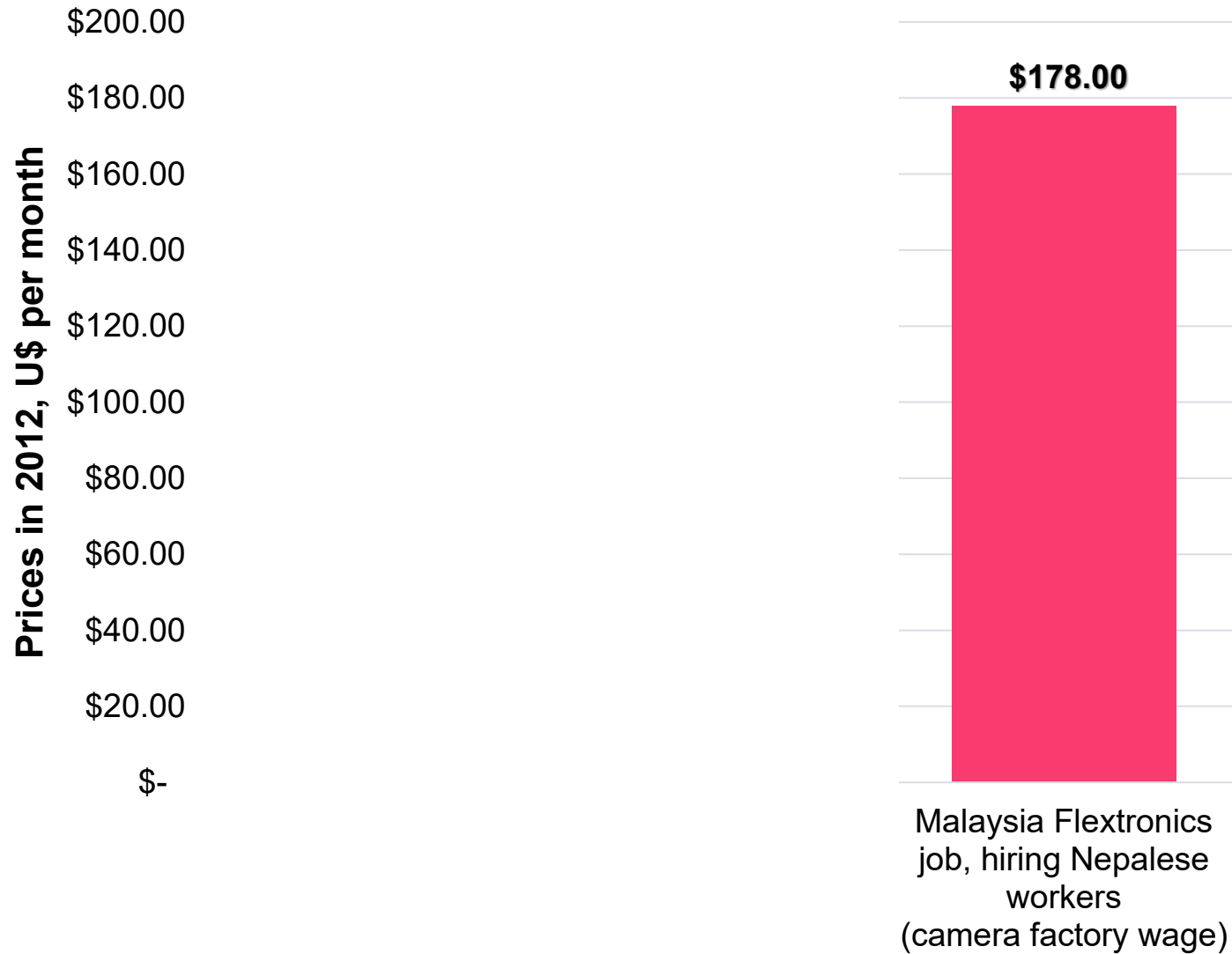


Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

However, Flextronics is not the only one either...

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...Bibek Dhong's arbitrage



Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

However, Flextronics is not the only one either...

...Bibek Dhong's arbitrage



"I am in debt already, but now I need to borrow more on top of that to be able to go away [again]."

-- Bibek Dhong, Nepalese worker, former iPhone's camera tester at Flextronics Malaysia

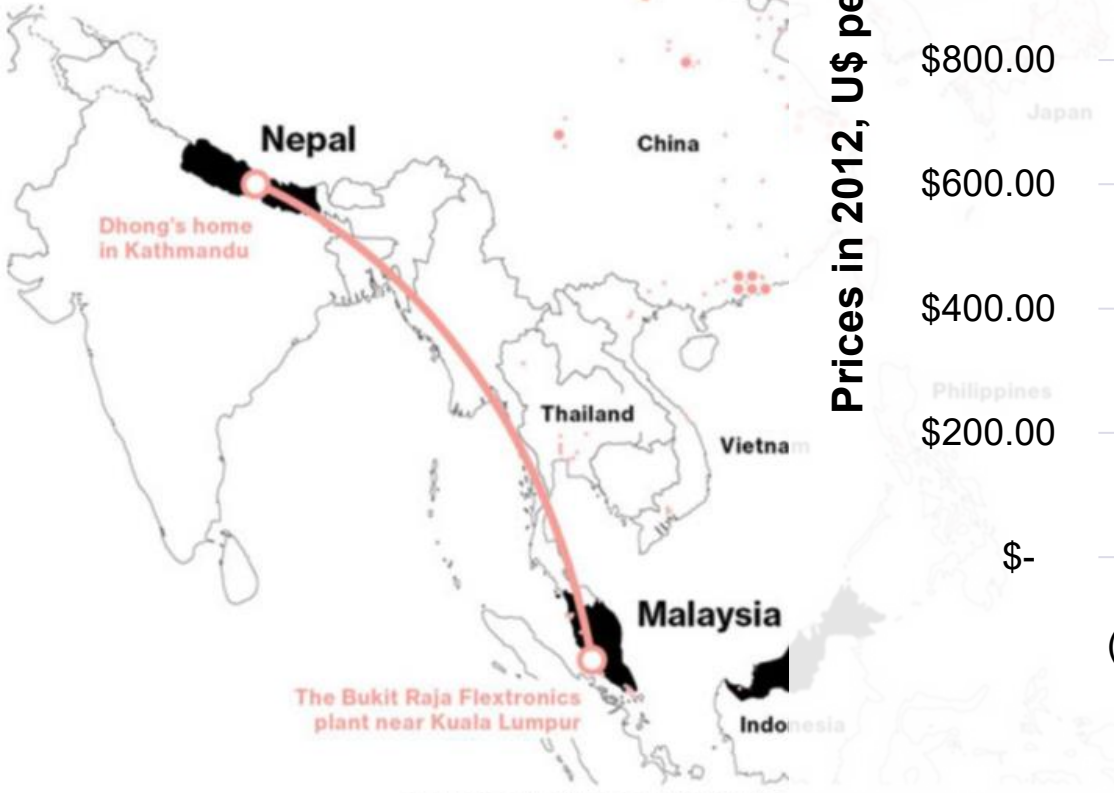
Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

Apple's iPhone 5 production, "Arbitrage Chain"

MIGRATING LABOR

Apple's final-assembly operations are concentrated in China, but its component suppliers span hundreds of facilities across four continents

Apple component supplier
Apple final-assembly plant



GRAPHIC BY BLOOMBERG BUSINESSWEEK. DATA: APPLE COMPANY REPORTS

Prices in 2012, US\$ per month

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\$600.00

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\$200.00

\$-

\$90.00

Nepal job
(shoe factory
wage)

\$25.00

Interest to
Flextronics
"recruiters"

\$178.00

Malaysia
Flextronics
job, hiring
Nepalese
workers
(camera
factory wage)

\$297.00

Malaysia
National
Minimum
Wage
(Enacted on
May 1st,
2012)

\$1,318.70

USA job
(production
worker
wage, in
2012)

\$649.00

iPhone 5
(cheapest
version,
on Nov. 30th,
2012)

Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

Oxford-Style Debate Rules

1. Motion: The debate is centered on a clear, debatable statement.

In this case: ***“Apple is responsible for what happened with iPhone testers.”***

2. Teams: Proposition (For the motion) and **Opposition** (Against the motion). Each team typically consists of **2–3 speakers**.

3. Speaking Format: Each speaker has a fixed time limit (e.g., **3-4 minutes**) to present their case.

4. Audience Q&A: Audience members may ask questions or raise challenges after the main speeches (e.g., **10 minutes**).

5. Closing Statements: Each team gives a **1-minute** closing summary to reinforce their position and respond to key points.

6. Voting: Conduct an **initial vote** before the debate (show of hands). Conduct a **final vote** after the debate. **The winner** is the team that **swayed more audience members** to their side.

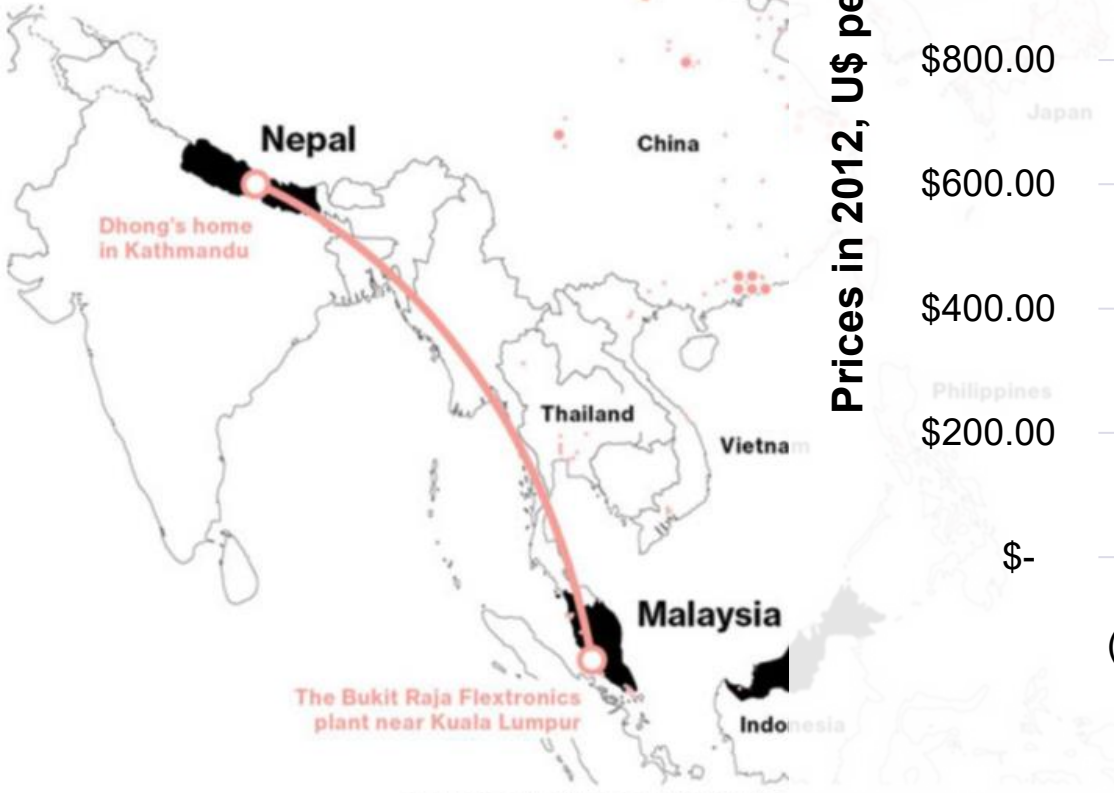
7. Rules of Engagement: No interruptions during speeches. Respectful, evidence-based argumentation. Speakers may use written notes, but should avoid reading full scripts or AI responses.

Apple's iPhone 5 production, "Arbitrage Chain"

MIGRATING LABOR

Apple's final-assembly operations are concentrated in China, but its component suppliers span hundreds of facilities across four continents

● Apple component supplier
● Apple final-assembly plant



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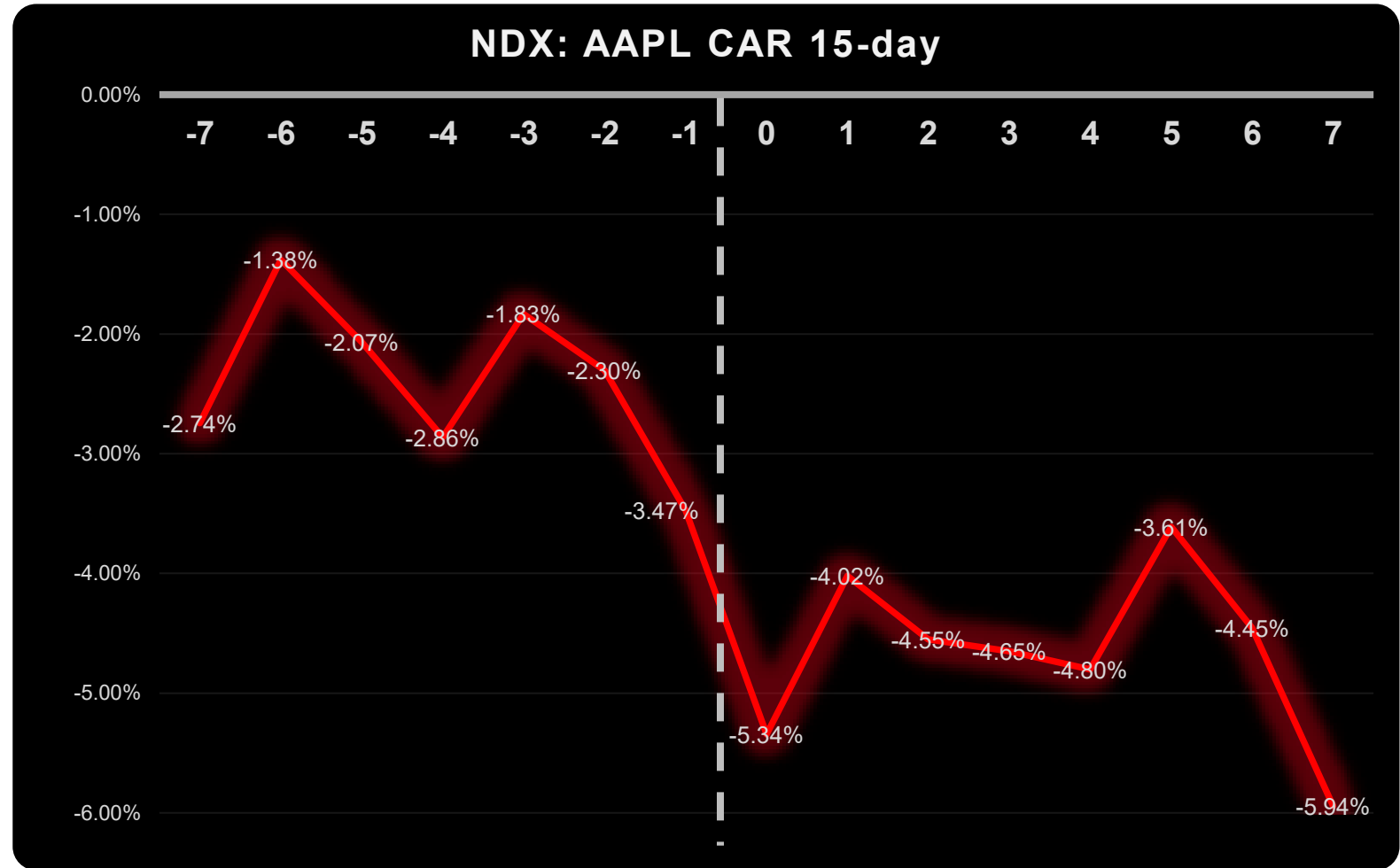
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Reputational Risk with Financial Consequences



APPLE (NDX:AAPL) CAR 15-day from report release on November 7th, 2013, 9:52 PM EST.

Average: -2.38% Before vs. -4.67% After

This drop represented a loss of approximately \$11 billion in market capitalization.

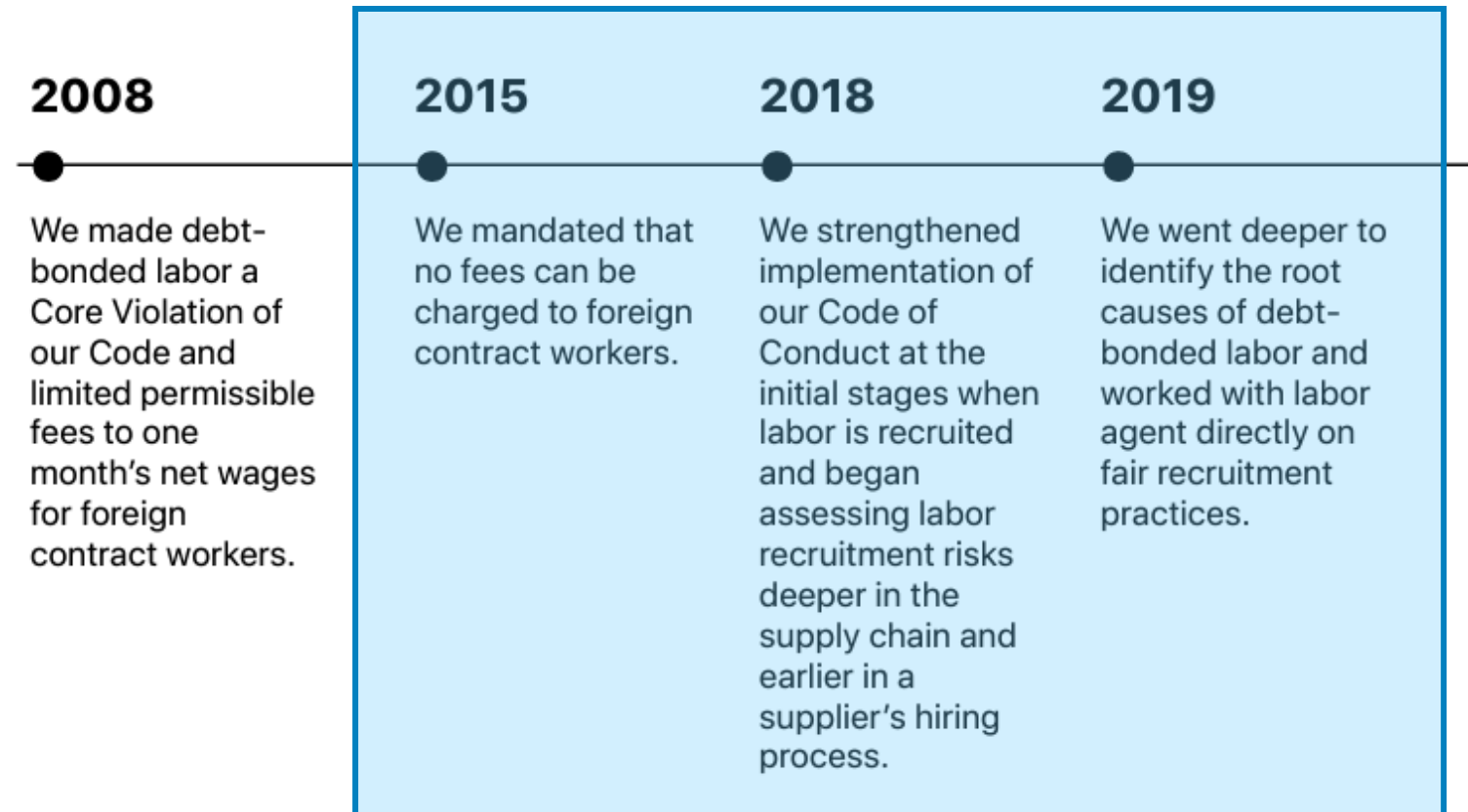
Apple's reaction

Apple's [2019 Statement of Efforts to Combat Human Trafficking and Slavery in Our Business and Supply Chains](#) (p.9)



2019 Statement on Efforts to Combat Human Trafficking and Slavery in Our Business and Supply Chains

Milestones in elimination of debt-bonded labor in our supply chain:



Flashcards

Apple Shifts Nearly All US iPhone Production from China to India

Between March and May 2025, Foxconn shipped \$3.2B worth of iPhones from India, with 97% bound for US soil. Cumulative iPhone exports under India's PLI scheme surpassed \$50B. **Apple now targets manufacturing the majority of US-bound iPhones in India by end of 2026, requiring output to double to 80M+ units.** India's 2026 budget gave Apple a major tax win, foreign companies can provide machinery to contract manufacturers without triggering tax liabilities for 5 years. However, final assembly in India costs 5–10% more than China, and 145% US tariffs on Chinese goods plus a proposed 25% tariff on *all* non-US-made Apple products create further pressure.

Sources: [Quartz \(2026\)](#), [AppleInsider \(Mar 2026\)](#), and [BGR \(2026\)](#)

Question: “Apple moved from China to India. Is this the same arbitrage we discussed with Flextronics in 2013? Or is something fundamentally different about the strategy this time?”

ANALYSIS

Arbitrage: India's PLI incentives and lower tariff exposure (vs. China's 145%) create a cost differential Apple is exploiting. But it's not pure wage arbitrage like 2013. India wages are close to China's and assembly costs 5–10% more.

Aggregation, Multi-Hub: Apple is shifting from single-hub (China) to multi-hub (India + Vietnam + US + China). This is **regional aggregation** driven by **geopolitical risk**, not just cost optimization. Each hub serves a different market: India → US, China → domestic/Asia, US → AI servers.

Adaptation, Political: The \$500B US investment (Houston factory, 20K jobs) is pure **political adaptation**, managing stakeholder expectations in the home market. Apple adapts not just products but its entire production footprint to changes in the institutional environment.

Key Insight:

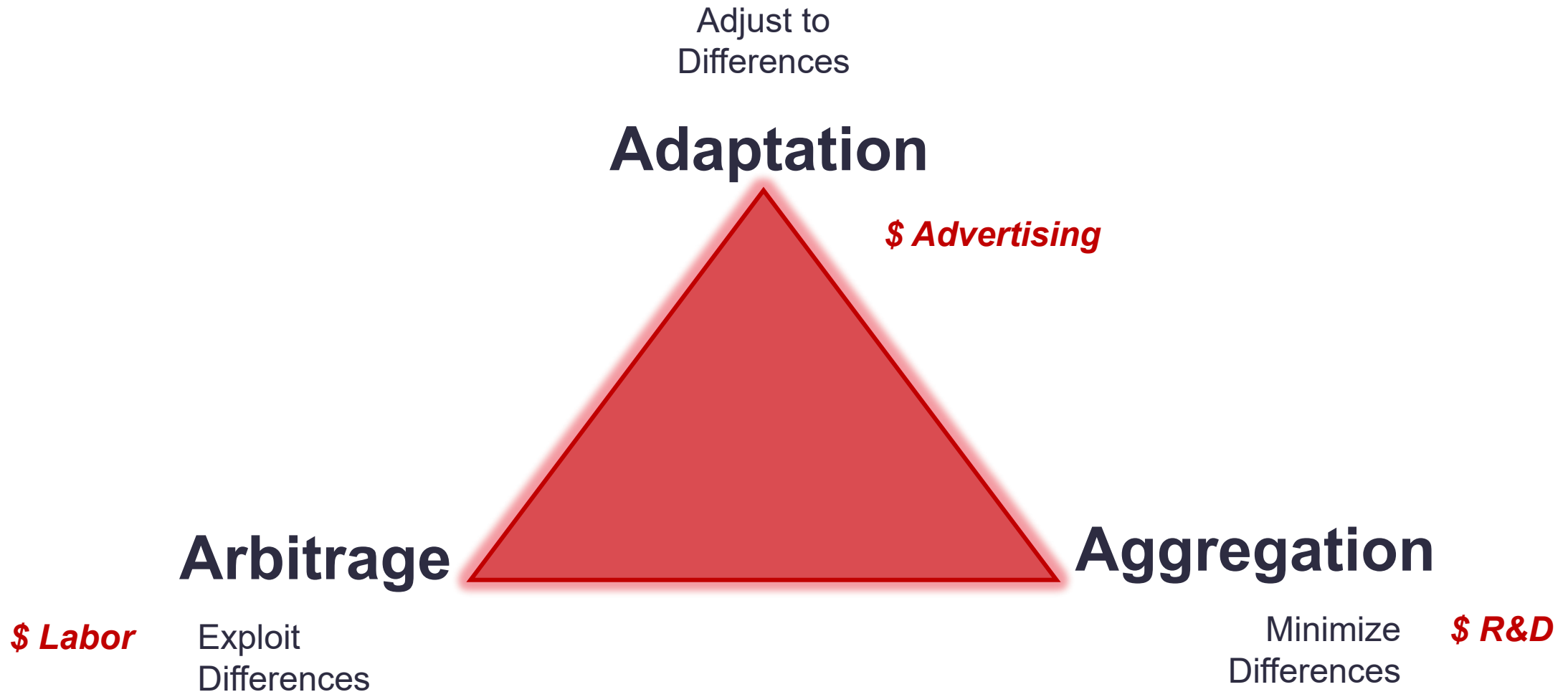
In 2013, Apple's strategy was more of a single-A (arbitrage). In 2026, it's all three simultaneously. The AAA Triangle *evolves* as firms mature internationally and as institutional environments shift.

How could Zara outperform its competitors?

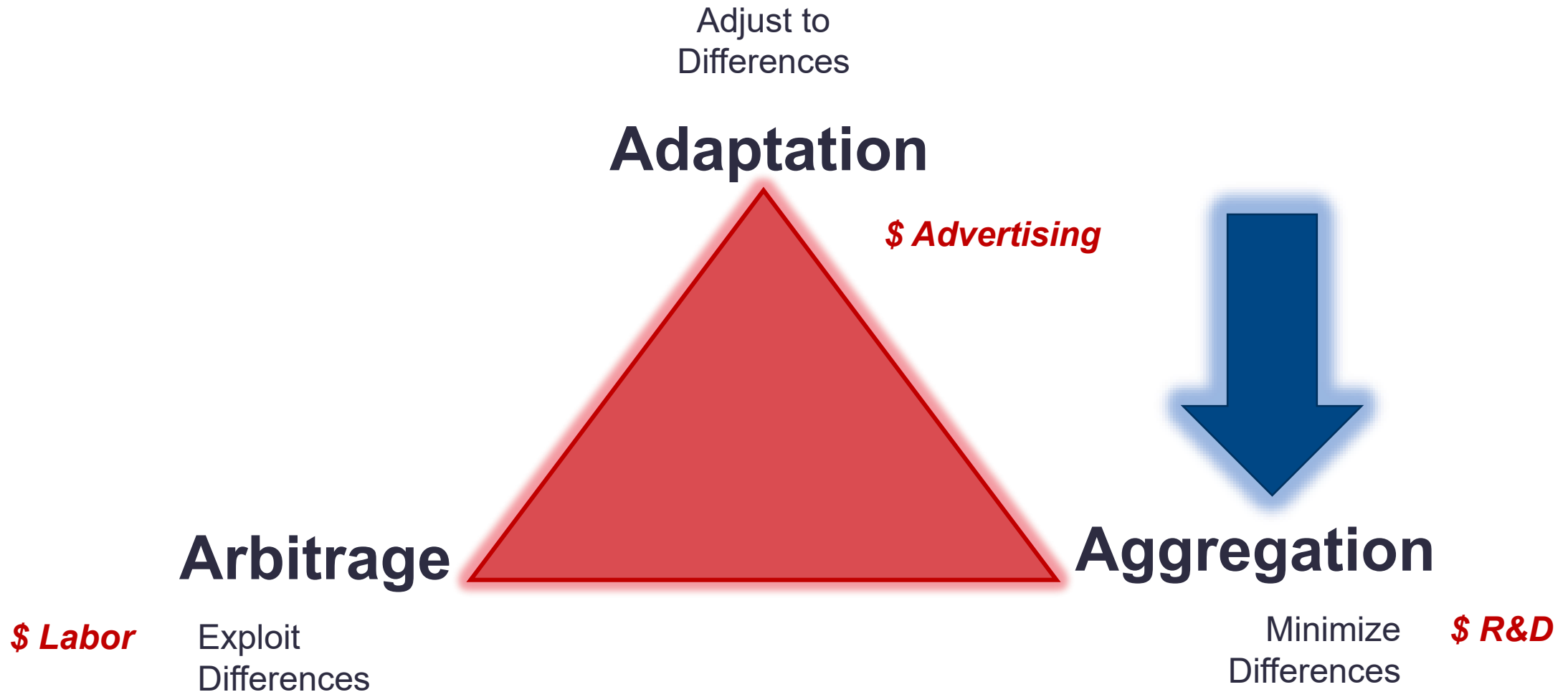
Ferdows, Lewis, & Machuca
(2004). "Rapid-Fire Fullfillment,"
Harvard Business Review,
82(11): 104-110.



Choosing your global strategy: AAA Triangle



Choosing your global strategy: AAA Triangle





Oliver Williamson

Minimizing Transaction Costs is the Best Strategy!

*“The mundane issue of **make-or-buy** not only goes to the essence of **transaction cost economizing** (...)”*

(Williamson, 1991: 82)

*“(...) **asset specificity** – which has reference to the ease with which an asset can be redeployed to alternative uses and by alternative users without loss of productive value (...) – **has had the greatest significance for examining the governance of contractual relations.**”*

(Williamson, 1991: 80)

Transaction Cost Economics Framework

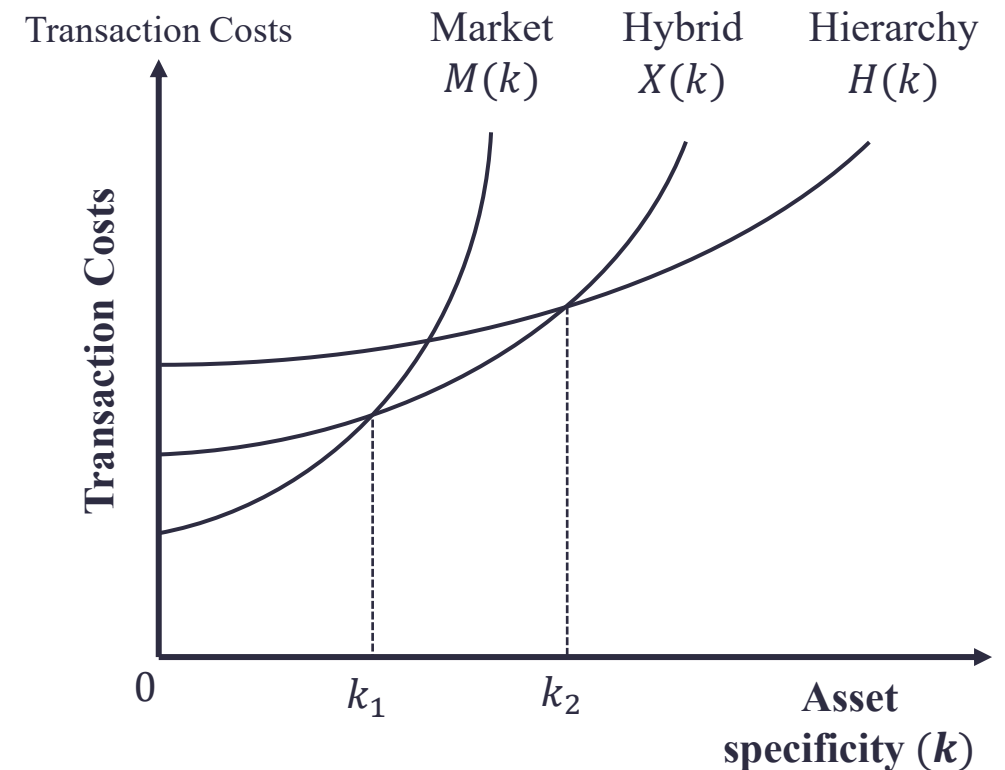
Three governance structures

- **Market $M(k)$:** import-export
- **Hybrid $X(k)$:** outsourcing contracts, alliances, joint-ventures
- **Hierarchy or Vertical Integration $H(k)$:** M&A, greenfield investments

Objective is to minimize Transaction Costs (lower level of curves possible)

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism (contractual hazard)**. Examples:

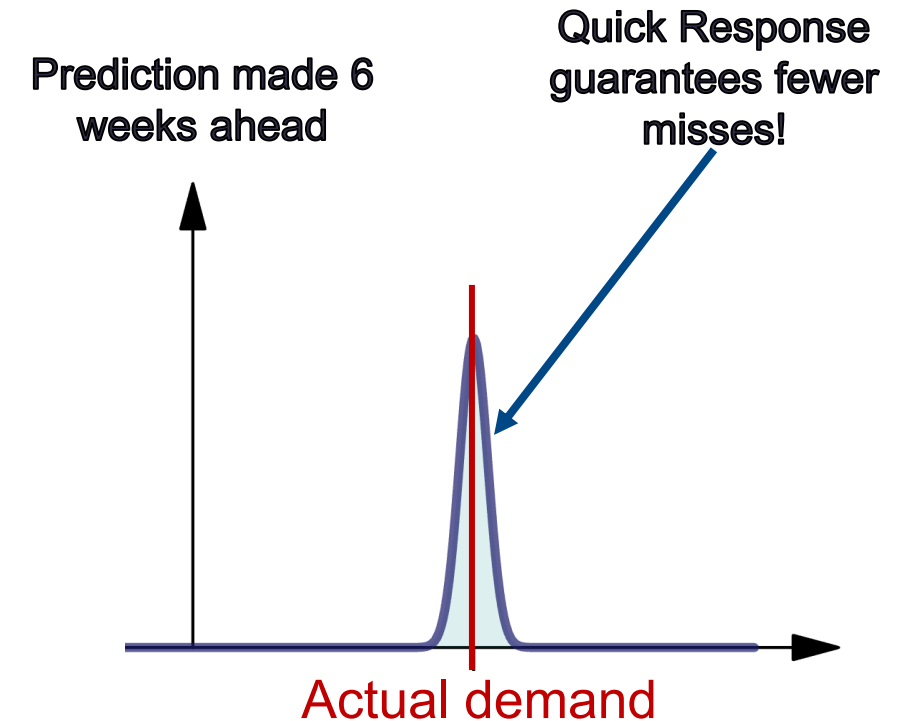
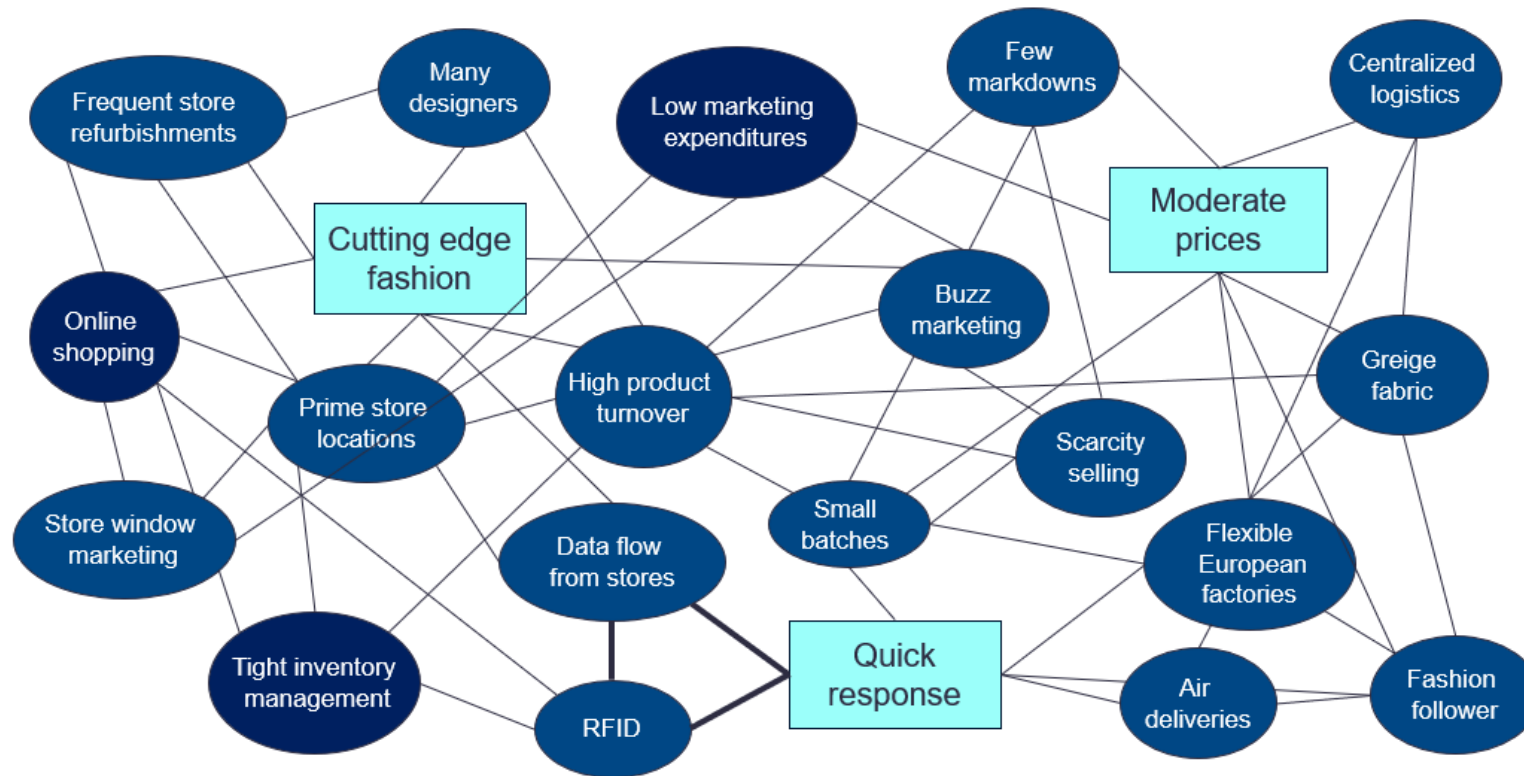
- Locational k : Railroad investment to a coal mine
- Dedicated k : Investment in specific human capital (programming language) used by only one firm
- Temporal k : Negotiation between milk producer and local dairy firm



Note: Williamson (1991).



Remember Zara's Activity Map.... Vertical Integration at home allows Zara to minimize transaction costs of fashion's high temporal asset specificity!



“Owning production assets gives Zara a level of control over schedules and capacities that, its senior managers argue, would be impossible to achieve if the company were entirely dependent on outside suppliers, especially ones located on the other side of the world.”

(Ferdows, Lewis, & Machuca, 2004: 109)

Meanwhile, competitors doing
Arbitrage face ...



Meanwhile, competitors doing
Arbitrage face ...

... Rana Plaza factory Collapse

- April 24th, 2013 – Dhaka, Bangladesh
- Garment factories, clients include:
 - *Benneton, Bonmarché, Prada, Gucci, Versace, Moncler, the Children's Place, El Corte Inglés, Joe Fresh, Mango, Matalan, Primark, and Walmart.*
- 1,134 total deaths and 2,500 injured
- Deadliest non-deliberate structural failure accident in modern human history.



Fast Fashion: How a Zara Coat Went From Design to Fifth Avenue in 25 Days

Few have been able to replicate the design-to-store pace that has made Inditex the sales leader

TCE minimization
becomes Zara's
Competitive Advantage

“The Spanish retailer’s rivals might move production closer to home, but they “just don’t have an organization set up to react quickly to what is trending,” said Liz Dunn, founder of Talmage Advisors, a retail consulting firm.

‘Simply put, the reason for Inditex’s success is short lead times: the ability to offer designs to the customer that other retailers do not yet have,’ Société Générale analyst Anne Critchlow said, adding that this allows the company to charge more than competitors. ‘Think of Zara not as a brand, but as a very speedy chameleon that adapts instantly to fashion trends.’”

Flashcards

Inditex Doubles Down on Proximity: €1.8B Logistics Investment & Micro-Factory Plans

Inditex reported H1 2025 revenue of €18.4B and emphasized its “*fully integrated model and agile supply chain*” built on proximity sourcing from Spain, Portugal, Morocco, and Turkey. The company committed **€1.8B to add logistics capacity, including a new Zara platform in Zaragoza (August 2025)**. When asked about tariff risks, management pointed to their broad European supplier base as a built-in hedge. **Future plans include micro-factories in key US and European markets to cut lead times “from days to hours.”** Zara uses 20+ Spanish factories and ~400 nearby subcontractors for fast-turn fashion; high-volume basics go to Bangladesh, China, India, and Vietnam.

Sources: [WWD \(2025\)](#), [Sourcing Journal \(2026\)](#), and [Supply Chain 360](#)

Question: “Zara produces 60% in Europe at higher labor cost. Does this make sense?”

ANALYSIS

AAA, Aggregation Over Arbitrage:

Instead of arbitraging labor cost differences, Zara *aggregates* operations in a regional hub-and-spoke centered on Spain. The trade-off: higher unit costs for speed-to-market and inventory efficiency. Zara replenishes stores 2x/week vs. the industry average of 6–8 weeks.

TCE, Temporal Asset Specificity:

Fashion has extreme *temporal asset specificity*, a trendy dress loses 80% of its value in 4 weeks. This makes time the most specific asset. Zara’s 20+ owned factories are not a cost center, they’re a transaction cost minimizer.

Micro-Factories — Next Evolution:

Planned micro-factories in key markets signal Zara is evolving ***from regional aggregation to hyperlocal aggregation. If lead times drop “from days to hours,” Zara would achieve near-zero temporal asset specificity***, i.e., virtually eliminating the hold-up problem. This is TCE optimization taken to its logical extreme.

The image shows the ZARA logo in large, white, three-dimensional letters mounted on a glass storefront at night. The glass reflects the surrounding environment, including trees and city lights, creating a layered effect. The logo is the central focus of the image.

ZARA

Key Takeaways

- Where should we go? **AAA Framework.**
 - Advantages on *Arbitrage*, *Aggregation*, and *Adaptation* might help firms to have lower relative costs, gain economies of scale, and increase local relevance, respectively
 - AAA approach should be followed closely by managers given the risks it might impose to the firm reputation, operations, and financial results
- How should we go? **Transaction Cost Economics (TCE) framework**
 - Minimizing opportunistic risks of *hold up*
 - Choosing the correct governance structure depending on the asset specificity is key

Next Class

- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Entry modes and local competition

Looking Ahead: Entry Modes

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - Irma Hunt, Allison Watts, and Sarah K. Bryant (2018) "Walmart's international expansion: successes and miscalculation," *Journal of Business Strategy* 39(2): 22-29.
 - Oliver Williamson (1991). "Strategizing, Economizing, and Economic Organization," *Strategic Management Journal* 12 (Special Issue: Fundamental Research Issues in Strategy and Economics): 75-94.
 - Video (watch before class) Cheddar on: "Why Walmart Failed in Germany" (Cheddar Channel on Youtube). Click [here](#) to watch.

QUESTIONS

- *Did it make sense for Walmart to enter foreign markets in the sequence it did?*
- *What are the reasons Walmart failed in Germany? Use CAGE and AAA frameworks to explain.*
- *How would you rate Walmart's strategy for China? Will they have a good chance of success? Why/why not?*



Thank you.

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